

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the
Interstate Transmission System.

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Docket No. RM26-4-000

**COMMENTS FOR CONSUMER PROTECTION
BY
OFFICE OF THE OHIO CONSUMERS' COUNSEL**

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I. INTRODUCTION

The Office of the Ohio Consumers' Counsel ("OCC"), the state advocate for residential utility consumers, files these comments in response to the Secretary of Energy's directive under Section 403 of the Department of Energy Organization Act and the Advance Notice of Proposed Rulemaking ("ANOPR") on Ensuring the Timely and Orderly Interconnection of Large Loads. OCC appreciates the Commission's commitment in this ANOPR to maintaining a reliable and nondiscriminatory transmission system. However, this proposal presents substantial risks to residential consumers, who could bear higher costs and diminished oversight as transmission policy shifts to accommodate extraordinary private demand growth from large industrial and data center loads.

OCC urges the Commission to condition any final rule on (a) adherence to existing cost causation principles for allocation of any costs associated with large load interconnections; (b) demonstrated public benefits before allowing any shift of interconnection customer caused costs to other consumers; (c) respect for current state laws, tariffs and orders governing provision of electric and transmission service to retail loads; and (d) transparency safeguards that protect households from unjust or unreasonable rates.

II. PROTECT RESIDENTIAL CONSUMERS FROM COST SHIFTING

The ANOPR proposes that large loads be responsible for 100 percent of assigned network upgrade costs. ANOPR at p. 25. But it also seeks comment on adopting crediting mechanisms similar to those adopted in Order No. 2003 for allocation of network upgrades associated with generation interconnections, and other cost recovery approaches. *Id.* In OCC’s experience, such “credits” frequently evolve into generalized cost socialization—resulting in rate impacts borne by retail residential customers who do not benefit from the facilities being built.

Federal Power Act sections 205 and 206, 16 U.S.C. §§ 824d and 824e, require that consumers pay only rates, terms and conditions for interstate transmission services that are just, reasonable and not unduly discriminatory or preferential. Any proposed and final rules adopted in this proceeding therefore should:

- Prohibit the use of transmission credits, rate-based recovery, or regional cost allocation mechanisms for interstate transmission facilities built primarily to serve large private loads;
- Require verification that interconnection-driven network upgrade investments associated with large load interconnections are necessary for system reliability and/or deliverability of electricity to the general public before any costs are shifted to consumers other than large loads; and
- Ensure that transmission cost recovery aligns with current cost causation and cost allocation principles developed in *Illinois Commerce Commission v. FERC*, 576 F.3d 470, 476 (7th Cir. 2009) (*ICC I*) (“FERC is not authorized to approve a pricing scheme that requires a group of utilities to pay for facilities from which its members derive no benefits, or benefits that are trivial in relation to the costs

sought to be shifted to its members.”) and *Illinois Commerce Comm’n v. FERC*, 756 F.3d 556 (7th Cir. 2014) (*ICC II*). . These cases require that those paying the costs must receive actual system benefits, not merely just satisfying national, state or local economic development goals.

III. ENSURE TRANSPARENCY AND ACCOUNTABILITY

The proposal’s claim that the National Environmental Policy Act (“NEPA”) review requirements do not apply to this ANOPR¹ could be interpreted as a request for omission of public participation requirements for development and implementation of any proposed rules or for identification of those seeking large load interconnections. Any such interpretation would be deeply concerning. Consumers, state advocates and state regulatory commissions have a right to know which entities are seeking large-load interconnections, the nature of the requested service, and how related costs could flow through to transmission and distribution rates. This is especially important in states, like Ohio, that have embraced the development of competitive electricity markets because the unbundled rates for interstate transmission service are regulated by the Commission. In any proposed final rule regarding large load interconnections, OCC urges the Commission to require public utilities, Regional Transmission Organizations and Independent System Operators to provide public posting of:

- All interconnection requests above 20 MW, including project type and location;
- Cost responsibility determinations and any resulting upgrades; and

¹ In his Oct. 23, 2025 letter to the Commission requesting that FERC initiate the ANOPR, Secretary of Energy Chris Wright states in footnote 4 that “NEPA does not apply to rulemaking actions proposed by the Secretary pursuant to section 403(a) of the DOE Act . . . because such proposals are not final agency action.”

- Annual reporting on the consumer cost impacts of large-load interconnections, associated transmission expansions, and the impact on electricity and capacity markets rates for consumers other than large loads.

Absent these transparency measures, consumers risk paying for projects with little to no public benefit, thus subsidizing the interconnection of large loads. This is especially concerning given that those may never materialize.

IV. PRESERVE STATE AND LOCAL OVERSIGHT

DOE's assertion that the ANOPR proposal does not impinge upon state authority overlooks the practical effect of expanding federal jurisdiction to load interconnections. States have long been responsible for local siting, permitting, and oversight of retail rate impacts. A rule that allows direct transmission interconnections for large end-use customers without coordination with state commissions could undermine local reliability and accountability.

In particular, FERC's rule must not undercut or preempt state efforts to manage large-load growth through retail tariffs and rate design. For example, Ohio's Large Data Center Tariff was developed through state regulatory proceedings to balance the interests of high-load customers with system costs and reliability for existing retail consumers. These state-level tariffs represent careful policy judgments about economic development, cost recovery, and local grid capacity. Any federal rule that allows large loads to bypass or duplicate that retail framework could distort state ratemaking authority, cause revenue instability for utilities, and shift costs to residential and small business consumers.

While FERC undoubtedly has jurisdiction over interstate transmission facilities and services, the ANOPR overstates the breadth of that jurisdiction. As the United States Supreme Court recognized in *New York v. FERC*, 535 U.S. 1, 28 (2002), "It is obvious that a federal order

claiming jurisdiction over *all* retail transmissions would have even greater implications for the States' regulation of retail sales—a state regulatory power recognized by the same statutory provision that authorizes FERC's transmission jurisdiction. See 16 U.S.C. § 824(b) (giving FERC jurisdiction over “transmission of electric energy,” but recognizing state jurisdiction over “any . . . sale of electric energy” other than “sale of electric energy at wholesale”).” In upholding a state's authority to regulate the provision of energy services directly to retail loads in the context of gas pipeline bypass concerns, the Court stated that:

[T]he primary aim of this legislation was to protect consumers against exploitation at the hands of natural gas companies.’ The scheme was one of cooperative action between federal and state agencies. It could accomplish neither that protective aim nor the comprehensive and effective dual regulation Congress had in mind, if those companies could divert at will all or the cream of their business to unregulated industrial uses.” 332 U. S. at 519, 520-521. The statutory scheme of “dual regulation” might have some overlaps or conflicts but no such exigencies appear here. There are no opposing directives and hence no necessity for us to resolve any conflicting claims as between state and federal regulation. Appellant concedes, as it must, that direct sales by it to industrial consumers are subject to state rate regulation under the *Panhandle-Indiana* decision.

Panhandle Eastern Pipe Line Co. v. FERC, 341 U.S. 329, 336 (1951). The courts have routinely recognized that “the relevant provisions of the two statutes are analogous” and courts “routinely relied on NGA cases in determining the scope of the FPA, and vice versa.” *Hughes v. Talen Energy Mktg., LLC*, 578 U.S. 150, 164, n.10 (2016).

In *Panhandle Eastern*, the court addressed state concerns regarding the potential for bypass of local gas distribution systems by allowing more lucrative, larger consumers to connect directly to the interstate pipeline system. The Court upheld state authority to regulate the direct sale to a retail customer, noting that the system set up by the NGA “was one of cooperative action between federal and state agencies. It could accomplish neither that protective aim nor the

comprehensive and effective dual regulation Congress had in mind, if those companies could divert at will all or the cream of their business to unregulated industrial uses.” *Panhandle Eastern*, 341 U.S. at 336, citing *Panhandle Pipe Line Co. v. Public Service Comm’n of Indiana*, 332 U.S. 507, 519-21 (1947).

While the ANOPR acknowledges state rate authority over retail services to large loads (ANOPR at p. 2), it nonetheless proposes that FERC issue rules related to transmission and ancillary services to these loads. ANOPR at pp. 28-29. The ANOPR makes no mention of the prohibitions in FPA sections 212(g) and (h) on federal regulation of retail marketing areas and of federal regulations “concerning the transmission of electric energy directly to an ultimate consumer.”

Accordingly, the Commission should expressly recognize that states retain authority to regulate through retail tariffs and service conditions for large-load customers. The federal rule should complement—not displace—those efforts. The Commission also should require coordination of the development of any specific federal rules governing large load interconnections with state utility regulators and consumer advocates prior to approving any load interconnection request that materially affects retail rates, distribution infrastructure, or local reliability conditions.

V. PRIORITIZE CONSUMER AFFORDABILITY AND EQUITY

The Commission’s primary duty under the Federal Power Act is to protect the public interest by ensuring that rates are just, reasonable, and not unduly discriminatory.² The ANOPR’s focus on facilitating “AI innovation” and industrial expansion risks reframing FERC’s

² *Atl. Ref. Co. v. Pub. Serv. Comm’n*, 360 U.S. 378 (1959) (finding that the Commission’s primary under the parallel provisions of the Natural Gas Act, 15 U.S.C. s 717 et seq., is to provide a “complete, permanent and effective bond of protection from excessive rates and charges” for consumers.)

mission toward private economic goals rather than consumer protection and system reliability. The Commission should affirm that no interconnection right or transmission upgrade will be granted unless the applicant bears 100% of the costs of interconnection-related costs. Any shift in those costs to other consumers should only occur if the applicant demonstrates a net public benefit, including consideration of the effects on affordability, local grid conditions, and reliability for existing consumers. OCC further recommends that consumer representatives be formally included in the stakeholder process as the compliance filings for the proposed rule are developed, consistent with FERC's principles of openness and fairness in the regulation of interstate transmission services.

VI. OTHER PRINCIPLES FOR REFORM

A. Deter Speculative Projects and Improve Load Forecasting.

OCC supports strong readiness and financial requirements to deter speculative large-load interconnection requests that can distort transmission planning and increase costs for consumers. In recent years, speculative filings- particularly by unconfirmed data center and industrial developers- have contributed to inaccurate demand forecasts and queue congestion, which can lead to unnecessary or premature network upgrades later recovered from consumers.

The Commission should therefore require that interconnection applicants demonstrate both technical and financial viability before entering the study process. At a minimum, applicants should provide evidence of site control, zoning and permitting progress, and financing or contractual commitments for the proposed facility. OCC also supports scaling study deposits and readiness milestones to project size, with non-refundable deposits and withdrawal penalties to discourage speculative queue participation.

These measures are necessary to protect residential consumers from bearing the costs of overbuilt transmission infrastructure resulting from inaccurate or inflated demand projections. Transparent reporting of queue attrition rates and coordination with state regulators on load forecasting will further promote accountability and prudent system planning.

B. Minimum Threshold Interconnection Standard Needed.

OCC supports retaining a defined minimum threshold such as 20 MW for purposes of any federal interconnection standard. This boundary appropriately limits federal jurisdiction to only the largest transmission-connected loads and avoids unnecessary preemption of state oversight.

The Commission should also make clear that states remain free to regulate load interconnections below this threshold through tariffs and retail service rules, such as Ohio's Large Data Center Tariff, which ensures that local consumers are not at a disadvantage in any large industrial projects. Eliminating the threshold would risk drawing smaller commercial and community facilities into FERC's jurisdiction and undermining local affordability protections.

C. Expedited Interconnection Process.

OCC recognizes the potential value of large loads that agree to be curtailable or dispatchable as system resources. However, any expedited connection process must be designed to protect consumers from inequitable queue treatment, hidden reliability costs, or cost shifting.

The Commission should avoid a purely serial interconnection study process for these projects. Serial studies can fragment system planning, overlook cumulative impacts, and result in network upgrades that are later socialized through transmission rates. Instead, the Commission should adopt a coordinated or clustered study framework that evaluates the effects of all large-load and hybrid requests together on system impacts and cost responsibility.

OCC further recommends that any expedited processing be contingent on enforceable curtailment and dispatchability commitment verified through telemetry and subject to penalties for non-performance. Without these enforceable standards, “curtailable” projects could effectively behave as firm load while benefiting from preferential queue treatment to the detriment of consumers and overall system reliability. In short, speed should not come at the expense of fairness, reliability, or cost causation.

D. Clarification of Interaction Transmission Planning Rules.

The Commission should include provisions in any proposed and final rule in this proceeding regarding incorporation of large load interconnections into transmission planning rules, particularly in RTO regions. In many regions, including PJM, there is significant dispute regarding the responsibility of planning for local transmission facilities, known as Supplemental Projects in PJM. Consumers have filed two complaint cases regarding the inadequacy of transmission planning for facilities the RTOs consider local, or non-regional in nature. *See Office of the Ohio Consumers’ Counsel v. PJM Interconnection, L.L.C., et al.*, Docket No. EL23-105-000 filed on September 28, 2023 and *Industrial Energy Consumers of America, et al. v. Avista Corp., et al.*, Docket No. EL25-44-000 filed on December 19, 2024. Both remain pending at the Commission.

Transmission planning by RTOs should be extended to include large loads interconnecting to transmission facilities considered local, or not-regional in nature. As explained in the two complaints, many states do not oversee the need for construction and cost-effectiveness of facilities that fall below the RTOs’ thresholds for regional planning. Yet these expansion facilities comprise more than 75% of the costs of new investment in interstate transmission infrastructure. Large load interconnections to any interstate transmission facility, no

matter how local in nature from a planning perspective, should not escape Commission review under the ANOPR and any proposed or final rules on this matter.

E. Treatment of Resource Adequacy.

OCC agrees that system support resource (“SSR”) and reliability-must-run (“RMR”) studies should evaluate not only local transmission reliability but also systemwide resource adequacy impacts when a generating facility seeks to suspend operations to serve new load. The withdrawal of existing generation capacity to support private industrial or data-center load can reduce regional reserve margins and increase capacity prices borne by retail consumers

The Commission should therefore require a two-part analysis. First the SSR/RMR study must confirm that the partial suspension will not compromise local reliability or voltage stability, with all resulting network upgraded costs borne by the requesting facility. Second, the RTO or regional planning authority should perform a forward-looking resource adequacy assessment-spanning at least three years – to determine whether the suspension would erode reserve margins or necessitate additional capacity procurement. If so, the interconnecting customer should be required either to procure equivalent replacement capacity or to reimburse the system of incremental reliability costs. The cost of obtaining replacement capacity should not be borne by existing consumers who have relied on and been paying for the suspension resources for many years.

Considering resource adequacy in this manner aligns with cost-causation principles and protects consumers from subsidizing private business decisions that reduce the overall supply or generation available to the market.

F. Operational Limitations to Prevent Unauthorized Injections or Withdrawals.

OCC supports strong and enforceable operational limitations on hybrid facilities to prevent unauthorized injections or withdrawals that can impose costs or reliability risks on

consumers. Hybrid facilities that both draw and inject energy at a single interconnection point must not be allowed to use the transmission system for arbitrage or unaccounted energy transactions that shift balancing and congestion costs to other customers.

The Commission should require:

- Automated protection and telemetry equipment that caps injections and withdrawals to approved rights;
- Separate metering for inflows and outflows to ensure proper assessment of transmission, ancillary service and energy charges;
- Mandatory financial penalties for unauthorized injections or withdrawals with penalty revenues credited to offset uplift costs borne by other customers; and
- Public reporting of hybrid facility performance and enforcement actions to ensure transparency and accountability.

These measures are essential to uphold cost causation principles, protect residential consumers from subsidizing private commercial operations and maintain system reliability as hybrid load-generation projects proliferate.

G. Implementation Plan for Reforms.

OCC urges the Commission to adopt a deliberate and transparent implementation plan for any final large-load interconnection reforms. The transition between existing and new procedures poses risk of delay, duplication, and cost shifting that could ultimately harm consumers.

The Commission should:

- Require transmission providers and RTOs to publish implementation schedules identifying which interconnection requests will be processed under existing versus new procedures;

- Grandfather projects that have met established milestones- such as completion of feasibility or system impact studies – to preserve investment certainty and prevent queue instability;
- Prohibit utilities from recovering from consumers any duplicative study or administrative costs incurred because of the transition;
- Direct RTOs to coordinate with state commissions and consumer advocates to evaluate how transition timing may affect local reliability or retail rates; and
- Require periodic public reporting on queue progress, study completion, and any cost impacts associated with the transition.

These measures will protect consumers from unnecessary costs, maintain reliability, and ensure a fair and orderly transition to new interconnection procedures.

VII. CONCLUSION

Consumers should not bear the financial or reliability burdens of speculative industrial growth. OCC urges the Commission to ensure that the costs of accommodating large-load interconnections are borne entirely by those entities that cause them, that transparency and state coordination are mandatory, and that affordability and consumer protection remain central to this rulemaking.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing Comments for Consumer Protection was served via electronic transmission upon all parties of record on the Commission's official service list in this proceeding on this 21st day of November 2025.

/s/ Maureen R. Willis
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Ohio Consumers' Counsel